YOUR FINANCIAL EDUCATION GUIDE

Your Financial Blueprint

A common sense guide to getting out of debt, building real wealth, and securing your family's future — no matter where you're starting from.

FINANCIAL EDUCATION · FOR CANADIAN FAMILIES

CANADA

What's Inside

INTRODUCTION

The Truth About Financial Independence

Most people believe financial freedom is only for the wealthy. It's not. Here's the truth.

GET OUT OF DEBT

BUILD YOUR SAVINGS

ACHIEVE FINANCIAL INDEPENDENCE

There's a common misunderstanding that only people with high incomes, large inheritances, or lucky breaks can become financially independent. That couldn't be further from the truth.

The fact is: you have the power to become financially secure. Many people who never earned a six-figure income have built meaningful wealth. Not because of luck — because of a few simple principles, consistently applied over time.

THE REAL QUESTION

Ask yourself:

- How can I save for the future when I have so much debt?
- How much money is enough to retire comfortably?
- If I die prematurely, what happens to my family?
- Can I ever truly become financially secure?

The answer to all of these is yes — if you understand and apply the principles in this guide.

This guide is not a sales pitch. It's a financial education resource built to help you become an independent thinker who can make the right choices for your unique situation.

THE CORE TRUTH

"It's not what you make — it's what you keep. And what you do with what you keep."

You can get out of debt. You can build savings. You can get on the path to financial independence. But nobody else can make it happen for you. That's both the challenge and the opportunity. Let's get started.

CHAPTER 1

Take Control

One of the biggest financial mistakes people make is dependence. Financial security starts when you take control of what you actually can control.

PROBLEM
DEPENDENCE
Letting others control your future

SOLUTION
TAKE CONTROL
Control what you CAN control

What You Can and Can't Control

YOU CANNOT CONTROL	YOU CAN CONTROL
The future of government pensions	**How much you save for retirement**
Your employer's decisions	**Your savings rate and investment choices**
Tax rates	**Ways to legally minimize your taxes**
Inflation and rising costs	**Maximizing your rate of return**
A single investment's performance	**Diversification of your portfolio**

Change Your Thinking First

The way you think about money determines everything. People who win the lottery and lose it all think about money differently than the self-made millionaire who never earned a huge salary. The difference isn't luck — it's mindset. If you believe you don't deserve financial security, you'll never have it. If you upgrade that belief — if you decide you deserve freedom and peace of mind — you'll start making the choices that get you there.

THE GOLDEN RULE OF SPENDING

If you make $10 and spend $9 = happiness.
If you make $10 and spend $11 = misery.

IT'S NOT WHAT YOU MAKE — IT'S WHAT YOU KEEP.

Want vs. Need — The Most Important Distinction

Along with setting priorities comes one tough rule of life: **you can't have everything.** Every purchase requires a conscious decision. Understanding the difference between wants and needs is foundational:

- **A need** is something you can't do without — food, shelter, utilities, transportation to work.
- **A want** is something you'd like to have — the newer car, the bigger house, the daily latte.

To achieve financial independence, you may need to sacrifice some wants for a period of time. This isn't about deprivation — it's about temporary trade-offs for permanent gain.

Realign Your Assets

Look at where your money is currently sitting. Money parked in low-interest savings accounts, earning 1–2%, is quietly losing ground to inflation every year. Moving money strategically to higher-return vehicles — registered accounts, equity investments — is a form of taking control. You don't have to do it all at once. But knowing that your money could be working harder is the first step to making it happen.

Consider Additional Income Streams

If your household income is modest and every dollar is already committed, increasing your income — even temporarily — can break the cycle. A part-time job, freelance work, or a side skill can generate the seed money to start your investment program. Once the habit of saving is established, even a small amount compounds powerfully over time.

Know Your Financial Independence Number (FIN)

Your Financial Independence Number is the amount of savings you'd need to retire — or stop working — comfortably. For a typical Canadian family earning $80,000/year today, your FIN at retirement could easily be over $2–3 million when you factor in inflation. Most families haven't thought about this number — and that's exactly the problem.

🎯 Goal Setting Framework

1. **Make a list** — write down your financial goals, big and small, in detail
2. **Prioritize** — which goals matter most? Which are most attainable first?
3. **Get personal** — attach meaning to each goal (why does it matter to you?)
4. **Do the math** — calculate exactly how much you need and how long it will take
5. **Create a timeline** — goals without deadlines are just wishes

CHAPTER 2

Pay Yourself First

Most people pay everyone else first — and save whatever's left over. There's never anything left over. Here's the fix.

10%
FIRST — ALWAYS

1
EMERGENCY
3+ months

2
SHORT-TERM
3–5 years

3
WEALTH
Retirement

10%

Set this aside FIRST — before any other bill

Treat it like a mandatory payment to yourself

At the end of the month, most people have nothing left to save. The solution is radical in its simplicity: **before you pay anyone else, set aside 10% of your income for yourself.**

Treat your savings like a recurring bill — one you pay first, no exceptions. Most people send large payments to credit card companies every month without hesitation. Give yourself the same commitment.

CORE PRINCIPLE

"Paying yourself first may be the single most important financial habit you can build."

The Three Accounts You Need

0–2

EMERGENCY ACCOUNT

3+ months of income. Keep this liquid — unexpected events only.

3–5

SHORT-TERM ACCOUNT

6+ months of income for events in the next 3–5 years.

5+

WEALTH BUILDING ACCOUNT

Long-term retirement savings. This is the account that makes you financially free.

HOW MUCH HAVE YOU ACTUALLY KEPT?

Average annual income × years worked =

TOTAL EARNED (A)

Amount you have saved today =

TOTAL SAVED (B)

B ÷ A × 100 =

YOUR SAVINGS RATE (%)

Most people are shocked by their number. That shock is a good thing — it's motivation.

CHAPTER 3

Crush Your Debt

Of all the threats to your financial security, none is more dangerous than debt. And none is more fixable once you understand how it actually works.

WITHOUT STACKING
25 yrs
$205,279 in interest

STACK IT

WITH DEBT STACKING
10.5 yrs
Save $112,000+ in interest

The Hidden Enemy: Compound Interest Working Against You

THE REAL COST OF MINIMUM PAYMENTS

A one-time $3,000 credit card purchase at 18% interest, with minimum monthly payments only:

- Takes **OVER 10 YEARS** to pay off
- Costs you an extra **$2,002 IN INTEREST**
- Total paid: **$5,002** for a $3,000 purchase

Revolving vs. Fixed Debt

FEATURE	REVOLVING (CREDIT CARD)	FIXED (PERSONAL LOAN)
Interest Compounds	**Daily**	**Monthly**
Payment Amount	**Fluctuates (minimum)**	**Fixed — predictable**
Payoff Timeline	**Can go on forever**	**Set end date**
$17,000 at 18% — Total Interest	**$12,500+**	**$5,370**
$17,000 at 18% — Time to Pay Off	**17+ years**	**3 years**

Debt Stacking: The Systematic Way Out

25 yrs

Minimum payments only

$205,279 in interest paid

vs.

10.5 yrs

With Debt Stacking

Save $112,000+ in interest

HOW DEBT STACKING WORKS

1. List all your debts and identify a payoff order (highest interest rate first)
2. Make consistent payments on ALL debts every month
3. When your first debt is paid off, **ADD THAT PAYMENT TO** your next debt's payment
4. Repeat — each paid-off debt accelerates the next one
5. When all debts are gone, redirect that entire payment into wealth building

Same total monthly payment. Same debts. Just a smarter order of attack. Every payment on a cleared debt gets rolled into the next one — accelerating payoff exponentially.

CHAPTER 4

The Rule of 72 & The Power of Compound Interest

24	12	8	6
years to double	years to double	years to double	years to double
@ 3%	@ 6%	@ 9%	@ 12%

Albert Einstein reportedly called compound interest "the most powerful force in the universe." Once you understand it, you'll never think about money the same way again.

The Rule of 72

Divide 72 by your rate of return, and you get the approximate number of years it takes your money to double.

24 yrs	12 yrs	6 yrs
to double at 3%	to double at 6%	to double at 12%

A one-time $10,000 investment at 3% doubles twice in 48 years (to $40,000). At 12%, it doubles 8 times — turning into $2,560,000. Same money. Same time. Completely different outcome based on rate of return.

The High Cost of Waiting

START AT AGE	MONTHLY AMOUNT	TOTAL INVESTED	BALANCE AT 65 (9%)
25	$213/mo	$102,240	**$1,000,000**
35	$543/mo	$195,480	$1,000,000
45	$1,487/mo	$357,240	$1,000,000
55	$5,130/mo	$616,000	**$1,000,000**

THE EARLY STARTER LESSON

Someone who invests $5,000/year from ages 22–29 (total: $40,000) and then stops will have more at age 65 than someone who invests $5,000/year from ages 30–65 (total: $180,000). Time beats total contributions.

START NOW.

The Power of Just a Little More

5x

More wealth from $100/mo vs $20/mo

Over 40 years at 9% return: $471,650 vs $94,330

Most people feel they can't invest enough to make a real difference. But small increases in monthly contributions have a dramatic impact over time. Look at the difference between saving $20 a month versus $100 a month at a hypothetical 9% return:

MONTHLY CONTRIBUTION	AFTER 10 YEARS	AFTER 20 YEARS	AFTER 30 YEARS	AFTER 40 YEARS
$20/month	$3,900	$13,460	$36,890	$94,330
$100/month	**$19,500**	**$67,300**	**$184,450**	**$471,650**

Hypothetical 9% nominal rate, compounded monthly. Does not include fees or taxes. For illustrative purposes only.

Just $80 more per month — the cost of a few coffees a week — produces nearly five times the outcome over 40 years. The math doesn't lie. Start with whatever you can, but start today.

Rate of Return Is Everything

Time matters. But how your money grows matters just as much. A $1,000 one-time investment at birth, left untouched until age 65:

RATE OF RETURN	VALUE AT AGE 65
3% (savings account)	**$7,000**
6% (balanced fund)	$48,900
9% (equity fund)	**$339,700**

Hypothetical constant rates. Does not include fees or taxes. For illustrative purposes only.

The difference between 3% and 9% isn't just better returns — it's the difference between $7,000 and $339,700 on the same original investment. That's why choosing the right investment vehicle isn't just a preference — it's one of the most important financial decisions you'll make.

CHAPTER 5

Protect Your Income — Life Insurance Done Right

Life insurance is one of the most important — and most misunderstood — financial tools available to families. Getting this wrong can cost your family everything.

10x
YOUR ANNUAL SALARY

TERM
Pure protection
Lower cost
✓ RECOMMENDED

WHOLE LIFE
Mixed product
3–5x higher cost
× AVOID MIXING

What Life Insurance Actually Is

Think of life insurance less as "death coverage" and more as **income protection**. Your ability to earn income is your most valuable financial asset — far more valuable than your house or your car. Yet most people insure their car carefully and underinsure their income.

$2.1M

Earning power at risk without coverage

$70,000/yr × 30 years = the income your family depends on

THE VALUE OF YOUR EARNING POWER

Annual income × years until retirement = your earning power.

Most people insure their car carefully and underinsure their income. Your ability to earn is your most valuable asset — by far.

Term vs. Cash Value Life Insurance

FEATURE	TERM LIFE INSURANCE	CASH VALUE / WHOLE LIFE
Purpose	**Pure death protection**	Protection + forced savings
Initial Premium	**Lower — more coverage per dollar**	**Higher — typically 3–5x more**
Flexibility	**Adjust coverage as life changes**	**Less flexible**
Investment Return	**You control your own investments**	**Low rate of return inside policy**
Death Benefit + Savings	**Family gets both**	**Traditional: family gets one OR the other**

The Theory of Decreasing Responsibility

Your need for life insurance isn't static — it changes throughout your life according to a powerful concept called the **Theory of Decreasing Responsibility**.

When you're young — with children at home, a mortgage, debt, and little savings — your family's exposure to your premature death is at its absolute maximum. This is when you need the most coverage. As you age, pay down debt, and build savings, your need for insurance coverage naturally decreases. Eventually, if you've saved and invested wisely, you become effectively self-insured — your accumulated wealth replaces the need for life insurance entirely.

HOW IT WORKS IN PRACTICE

Buy maximum term coverage when you're young and your family is most vulnerable. Use the premium savings (vs. whole life) to invest. By the time you're older, your investments have grown enough that life insurance becomes less critical.
WHEN YOU REACH RETIREMENT AGE, THERE IS NO SUBSTITUTE FOR CASH.

Buy Term and Invest the Difference

The "Buy Term and Invest the Difference" strategy is the practical application of the Theory of Decreasing Responsibility. Rather than bundling savings inside a life insurance policy (at a poor rate of return), you:

1. Buy inexpensive **term life insurance** for pure income protection
2. Invest the premium savings you would have paid for whole/universal life
3. Grow your investments in separate, flexible, higher-return accounts
4. As your wealth builds, your need for coverage decreases

Buying term typically gives you significantly more coverage for less money — and you control your investment completely, without the restrictions and poor returns of a bundled cash-value policy.

WATCH OUT: CASH VALUE LIFE INSURANCE

Products like whole life, universal life, and permanent life insurance bundle insurance with savings. Key concerns:

- Takes many years to build meaningful cash value
- The surrender value in early years is often a fraction of premiums paid
- Cash value grows "tax deferred" — NOT "tax free" like a TFSA
- With some policies, the death benefit goes to the insurer if you use your cash value

Always separate your insurance from your investments.

THE SIMPLE STRATEGY

"Buy term insurance for protection. Invest the difference separately for growth. Never mix the two."

✅ Your Insurance Action Steps

1. Calculate your earnings protection need (annual income × 10)
2. Review your current coverage — employer group and personal combined
3. If you have a gap, price out term life insurance
4. Avoid bundling insurance with investments — keep them separate
5. Review coverage at every major life event: marriage, new child, new mortgage

CHAPTER 6

Defer Your Taxes — RRSP & TFSA

The federal government has given every Canadian two powerful wealth-building tools. Most families dramatically underuse them.

RRSP
Tax deduction today
Taxed on withdrawal

OR

TFSA
NEVER taxed — ever
★ Best for most Canadians

The Power of Tax-Deferred Savings

YEARS INVESTED	NON-REGISTERED (TAXED)	REGISTERED (TAX-DEFERRED)
10 years	$74,300	**$87,600**
20 years	$205,400	**$295,100**
30 years	$436,900	**$786,200**
40 years	$845,700	**$1,948,900**

Based on $458/month at 9% return, 35% tax rate. Illustrative only.

RRSP vs. TFSA: Know the Difference

FEATURE	RRSP	TFSA
Contribution deductible?	**Yes — reduces taxable income now**	No
Earnings taxed?	Deferred until withdrawal	**Never — tax free**
Withdrawals taxed?	Yes — added to income	**No**
Best for	Higher income earners	**All Canadians**
Age limit	Must convert by age 71	**No age limit**
Re-contribute withdrawals?	No (with exceptions)	**Yes, next calendar year**

CHAPTER 7

Be an Owner, Not a Loaner

Most Canadians believe their money is "safe" in the bank. Here's why that belief is costing them their financial future.

LOANER
Bank pays you 1%
Bank earns 7–9% on your money

OWNER
You earn 7–9% directly
★ RRSP • TFSA • Mutual Funds

The Banking Reality

When you deposit money in a bank, you are **lending money to the bank**. They pay you a low interest rate, then invest your money and earn a much higher rate. The bank keeps the difference. You are the loaner. The bank is the owner.

THE HIDDEN MATH OF "SAFE" SAVINGS

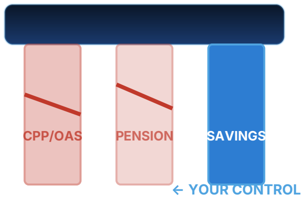
You deposit $10,000 at 1% interest:
+ $100 interest earned
- $25 in tax on that interest (25% example)
= $75 net earnings → balance of $10,075

If inflation is 4%, your $10,075 has
ONLY $9,688 OF REAL BUYING POWER

.
You actually
LOST
$312 in purchasing power — while thinking you were being safe.

Instead of lending your money to financial institutions at low rates, become a part-owner of the economy. Equity investments — broadly diversified funds — have historically outperformed savings accounts by a wide margin over long periods.

The Broken Three-Legged Stool



For decades, financial experts described retirement security as a three-legged stool: **government benefits** (CPP/OAS), **company pensions**, and **personal savings**. When all three legs were strong, retirement was stable.

That stool is broken. Company pensions have largely disappeared. Government benefits cover a modest baseline — not a comfortable retirement. The only leg you can truly rely on? **Personal savings.**

THE REALITY OF RETIREMENT IN CANADA

- Average CPP payment: ~$758/month (2024)
- Maximum OAS: ~$700/month
- Combined: ~$1,458/month — well below most Canadians' cost of living
- Company pensions: rare in the private sector; not portable

Simply put:
IT'S UP TO YOU TO FUND YOUR RETIREMENT.

Are You Earning a Guaranteed Loss?

Bank deposits in Canada are insured by the CDIC (Canada Deposit Insurance Corporation) — up to $100,000 per depositor. That sounds safe. But what you're actually purchasing with that "guarantee" is something you hadn't counted on: **a guaranteed loss in buying power.**

If your savings account earns 1% and inflation runs at 3–4%, your money buys less every single year — even though the dollar amount is growing. After 20 years of this, the real purchasing power of your "safe" savings has been significantly eroded. Safety of principal is not the same as safety of purchasing power.

Rate of Return Is the Key to Real Security

Saving alone won't get most people to retirement. The rate of return on those savings is what separates modest security from genuine financial independence. Consider the historical long-run performance of different asset classes:

INVESTMENT TYPE	APPROXIMATE LONG-RUN RETURN	PURCHASING POWER RISK
Savings account / GIC	**1–3%**	**High (often below inflation)**
Government bonds	3–5%	Moderate
Balanced funds (equities + bonds)	5–7%	Lower
Diversified equity funds	**7–9%+**	**Lowest over long periods**

Historical averages. Past performance is not a guarantee of future results. All investments involve risk.

The key question isn't "Is my money safe?" — it's "Is my money growing fast enough to outpace inflation and actually build wealth?" For most people, the answer requires moving beyond savings accounts.

CHAPTER 8

Invest With Professional Management

You don't need to be a financial expert to benefit from professional investment management. Here's how ordinary families access it.

D
DISCIPLINE
Stay the course

D
DIVERSIFY
Spread your risk

D
DOLLAR-COST
Fixed monthly

The Three Ds of Successful Investing

DISCIPLINE

Stay invested through market ups and downs. Missing even the 10 best trading days in a decade dramatically reduces long-term returns. The instinct to "get out when things look bad" is the most expensive mistake individual investors make.

DIVERSIFICATION

Don't put all your eggs in one basket. Spread risk across industries, geographies, and asset types. When one sector falls, others often hold or rise.

DOLLAR-COST AVERAGING

Invest a fixed amount every month regardless of what the market is doing. When prices drop, your fixed amount buys more units at a lower price — lowering your average cost per unit over time.

What Is a Mutual Fund?

A mutual fund pools money from many investors. Professional money managers invest the pool across many different companies, sectors, and geographies — giving ordinary families access to professional investment management and diversification that would be impossible to achieve on their own.

When you invest in a mutual fund, you own units of the fund — not individual stocks. Your risk is spread automatically. If one company in the fund has a bad year, it doesn't wipe out your entire investment. This is why mutual funds have historically been the primary vehicle for ordinary families to build long-term wealth.

SAVING VS. INVESTING — KNOW THE DIFFERENCE

SAVING

is setting money aside in a low-risk account (savings account, GIC). Capital is preserved but growth is minimal. Best for short-term goals and emergency funds.

INVESTING

is putting money to work in assets that grow over time — equities, funds, real estate. Growth potential is higher, short-term fluctuation is real. Best for long-term wealth building.

Both have a place in your financial plan. The mistake is treating savings accounts as your long-term wealth strategy.

Dollar-Cost Averaging: Why Falling Markets Can Be Your Friend

One of the most counterintuitive — and powerful — concepts in investing is dollar-cost averaging. When you invest a fixed amount every month, a falling market actually works in your favour.

3x

More units bought by the investor who kept investing through a dip

Same $600. Same fund. Smarter timing through DCA.

Consider two investors, each investing $100/month for 6 months ($600 total) in the same fund:

MONTH	INVESTOR A — RISING MARKET	INVESTOR B — FALLING THEN RECOVERING
Month 1	$10/unit — buys 10 units	$10/unit — buys 10 units
Month 2	$12/unit — buys 8.3 units	$6/unit — buys 16.7 units
Month 3	$14/unit — buys 7.1 units	$4/unit — buys 25 units
Month 4	$16/unit — buys 6.3 units	$4/unit — buys 25 units
Month 5	$18/unit — buys 5.6 units	$6/unit — buys 16.7 units
Month 6	$20/unit — buys 5 units	$10/unit — buys 10 units
Result	42.3 units @ avg $14.19/unit	**125.9 units @ avg $4.76/unit**

Hypothetical example. Dollar-cost averaging cannot assure a profit or protect against loss in declining markets. For illustrative purposes only.

Investor B — who invested through a market dip — accumulated nearly **3x more units** than Investor A. At the end of Month 6, both markets returned to $10/unit. Investor B's $600 worth of units is worth significantly more, simply because the dip allowed them to buy more units at lower prices.

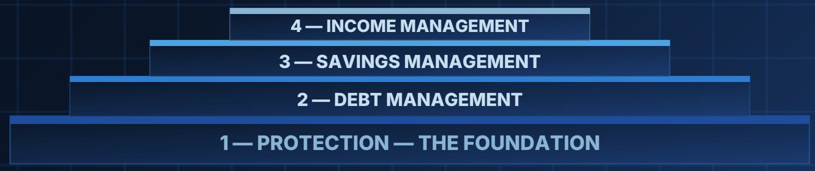
This is why the right response to a market downturn is not to stop investing — it's to keep your monthly contribution going and let dollar-cost averaging do its work.

✅ Your Investment Action Steps

1. Determine your savings goal and time horizon before choosing investments
2. Understand your risk tolerance — how would you react to a 30% temporary drop?
3. Prioritize tax-sheltered accounts (RRSP, TFSA) before non-registered investing
4. Set up automatic monthly contributions — make it systematic, not discretionary
5. Don't stop investing when markets fall — dollar-cost averaging works best through downturns
6. Review your portfolio annually; don't panic-sell during market downturns

CHAPTER 9

Your Financial Needs Snapshot



Your real numbers — retirement gap, debt load, and protection — are the foundation of a real financial plan.

1. PROTECTION MANAGEMENT (FOUNDATION)

Life insurance, emergency fund, legal protection. Without this layer, one bad event can wipe out everything you've built above it.

2. DEBT MANAGEMENT

Consumer debt, credit cards, and non-mortgage debt — eliminated as fast as possible.

3. SAVINGS MANAGEMENT

Retirement savings, education funds, goals and dreams accounts. Where wealth is built.

4. INCOME MANAGEMENT

Understanding your cash flow: what comes in, what goes out, and the surplus that determines how fast you progress on priorities 1–3.

CONCLUSION

You Can Do This

Financial independence isn't a secret. It's a set of principles — applied consistently, over time. You now have the knowledge. The only question is: will you use it?

THE FUNDAMENTALS THAT WORK

"Take control. Pay yourself first. Eliminate debt. Use compound interest for you, not against you. Protect your income. Defer your taxes. Own pieces of the economy. Start now."

Whatever your current situation — whether you're just starting out, carrying debt, behind on retirement savings, or simply looking for a clearer picture — the most important step is the next one.

🚀 Your First Steps This Week

1. Calculate your Financial Independence Number
2. Review your current life insurance coverage and close any gaps
3. List all your debts and set up your Debt Stacking order
4. Open or maximize a TFSA if you haven't already
5. Set up an automatic monthly savings transfer — even $100 starts the habit
6. Talk to a qualified financial advisor to build your full personalized plan
7. **Complete the Personal FNA Worksheet on the next page**

Winning the financial game is the result of winning tiny battles day to day. Something as small as choosing water over a $5 coffee, or saying no to an impulse purchase, adds up faster than you could ever imagine. The basic concepts of money management aren't obscure or difficult to understand. They're based on common sense — and they can put financial success within your reach.

While it may be tempting to wait for a financial miracle, it's much wiser to follow the proven principles that have already worked for thousands of ordinary families. **Whatever your present situation, the most important step is getting started today.**

Put together a simple game plan and follow it. You'll be amazed at the progress you can make.

BONUS WORKSHEET

Your Personal Financial Needs Analysis

Use this worksheet to calculate your real numbers — income protection gap, retirement gap, and debt payoff timeline. Fill it in with a pen or discuss it with a financial advisor.

SECTION 2	SECTION 3	SECTION 4
INCOME PROTECTION	RETIREMENT GAP	DEBT PAYOFF PLAN

📋 Section 1 — Your Household Basics

Primary earner's name: ______________________

Partner/Spouse name: ______________________

Current age: ________ **Partner's age:** ________

Target retirement age: ________ **Number of children:** ________

Combined annual income: $ ______________________

Monthly take-home pay: $ ______________________

Monthly expenses (total): $ ______________________

Monthly surplus / shortfall: $ ______________________

Monthly surplus = Take-home pay – Monthly expenses. A positive number means room to build wealth. A negative number means spending needs to be addressed first.

🛡️ Section 2 — Income Protection Analysis

If you died prematurely, would your family be financially secure? This section calculates how much life insurance coverage you need vs. what you have.

Step A — Your Earning Power

Annual income (you): $ ____________________

Years to retirement: ________

Total Earning Power = Annual Income × Years to Retirement
Example: $70,000 × 30 years = **$2,100,000** in income your family is counting on

Your total earning power: $ ____________________

Step B — Coverage Needed (10x Rule)

Coverage Needed = Annual Income × 10
Example: $70,000 × 10 = **$700,000** recommended coverage

Coverage needed (10x rule): $ ____________________

Step C — Your Current Coverage

Employer group life insurance: $ ____________________

Personal life insurance policy: $ ____________________

Other coverage: $ ____________________

Total current coverage: $ ____________________

⚠️ COVERAGE GAP: $ ____________________

Coverage Gap = Coverage Needed − Total Current Coverage. If this number is positive, you are underinsured. This gap represents what your family would be missing if you died today.

💰 Section 3 — Retirement Gap Analysis

How much will you need in retirement, and are you on track to get there?

Step A — Retirement Income Target

Current monthly expenses: $ ______

Target retirement income/mo: $ ______

Tip: Most people target 70–80% of their pre-retirement income.
At $80,000/year, that's $56,000–$64,000/year in retirement income ($4,667–$5,333/mo)

Step B — Government Benefits (Reduce Your Target)

Estimated CPP monthly: $ ______

Estimated OAS monthly: $ ______

Check your My CRA account or Service Canada for your CPP/OAS estimates. Average CPP is ~$758/mo; max OAS is ~$700/mo (2024 figures).

Monthly income from savings needed: $ ______

= Target retirement income/mo − CPP − OAS

Step C — Nest Egg Required

Nest Egg = Monthly income from savings needed × 12 ÷ 0.04
(The "4% rule" — withdraw 4% per year to make your savings last 25–30 years)
Example: $3,000/mo × 12 ÷ 0.04 = **$900,000 nest egg needed**

Nest egg required: $ ______

Step D — What You Have & Your Gap

Current RRSP/TFSA balance: $ ______

Other retirement savings: $ ______

Years until retirement: ______

Projected value of current savings = Current savings × (1.09)^years
Example: $50,000 × (1.09)^25 = $431,000 projected at 9% return

Projected retirement savings: $ ____________________

🎯 **RETIREMENT GAP:** $ ____________________

Retirement Gap = Nest Egg Required − Projected Retirement Savings. This is how much additional wealth you need to build to retire on your own terms.

📉 Section 4 — Debt Payoff Plan (Debt Stacking)

List all your debts below. Order them by interest rate (highest first) for maximum Debt Stacking impact.

DEBT NAME	BALANCE OWING	INTEREST RATE	MIN. MONTHLY PAYMENT	PRIORITY #
	$	%	$	
	$	%	$	
	$	%	$	
	$	%	$	
	$	%	$	
TOTAL DEBT	**$**	**—**	**$**	**—**

Extra Monthly Payment Available (from surplus in Section 1): $__________

Apply this extra amount to your Priority #1 debt every month. When paid off, roll that full payment into Priority #2. Repeat until debt-free.

Total monthly debt payment: **$** ______________________

💡 **Once debt-free, redirect to savings:** **$** ______________________

When all debts are paid, your entire monthly debt payment becomes wealth-building fuel. This is the Debt Stacking payoff — redirecting payments from interest to your future.

🚀 Section 5 — Your Financial Action Plan

Based on what you've calculated above, set your top 3 financial priorities and next actions.

Priority #1 — My most urgent financial need right now:

First action I will take (and when):

Priority #2 — Second priority:

First action I will take (and when):

Priority #3 — Third priority:

First action I will take (and when):

REMINDER

This worksheet gives you the picture — a qualified financial advisor can help you build the full plan, select the right products, and keep you accountable. The best next step after completing this worksheet is to sit down with someone who can help you close the gaps you found.

Your Financial Blueprint

This guide is intended for general financial education purposes only. It is not a solicitation for any product or service. All examples are illustrative. For advice specific to your situation, consult a qualified and licensed financial professional in your province.